CORE STUDY

2 The economic and business environment

2.1 Overview

Numerous **videos** and **interactivities** are available just where you need them, at the point of learning, in your digital formats, learnON and eBookPLUS at www.jacplus.com.au.

2.1.1 Introduction



Do you shop, have a bank account or even catch public transport? Of course you do! So even without knowing, you are engaged in and dependent on the world of business and economics.

Whether we know it or not, we are all involved in the economy. When we buy goods and services, put money in a bank account or get a casual job, we are contributing to the economy.

However, the economic and business environment is always changing. Not too long ago, most goods and services were bought from local shops in a face-to-face exchange. Now, thanks to advancements in technology such as the internet and smartphones, you can buy anything you want, 24 hours a day, and have it delivered to your door. Businesses can now access a global market, not only to sell their products but also to get them produced. Although this can create opportunities for businesses, it also presents challenges that individuals, businesses and governments need to think about.

This topic looks at the way our economy and markets operate in a globalised world, including the interdependent nature of our economy and the role and function of businesses within the economy.

CONTENT FOCUS

On completion of this topic, you will have:

- developed an understanding of the importance, and features of, the economic environment, including markets
- explored the nature, role and operation of businesses in the context of an increasingly globalised economy
- investigated cause-and-effect relationships in relation to a major economic event or development affecting Australian consumers and businesses.

Resources

Video eLesson	The business and economic environment (eles-3507)
Digital documents	Key terms glossary (doc-32665)
	Worksheet 2.1 Start up! (doc-32806)
eWorkbook	Customisable worksheets for this topic (ewbk-0859)

2.2 The five-sector circular flow model

It is sometimes said that 'money makes the world go around'. Of course, this is not physically true, but it does sum up the way the **economy** works. So an important concept to understand is the flow of money or finance that moves through the economy.

The circular flow of income shows the connections between the five different sectors of an economy: consumers, businesses, financial institutions, the government and the overseas sector. It also shows where money is being injected into the economy and where money is being leaked from the economy. These injections and leakages help economists calculate changes in the level of economic activity within an economy.

2.2.1 The consumer and business sectors

The household sector of an economy is made up of consumers, who hold economic resources such as land, labour, capital and enterprise. In a simple two-sector economic model, the other sector of the economy is the firms sector. People sell their resources to firms (businesses) in exchange for an income. Firms then use the resources of households to produce goods and services. This is known as **production**. Households will then use their income to buy various goods and services. This is known as **consumption**.

Consumers and businesses are **interdependent** on each other. This means businesses would not survive without consumers buying their goods and services, and consumers rely on businesses to provide them with the goods and services they demand to satisfy their needs and wants, and also to provide them with an income.

Two-sector circular flow of income model

Vanessa was struggling to understand the links within the economy. She realised that income is a central theme to understanding any economy. *I've always enjoyed model making, so why don't I start there?* she thought. When building a model, it's easier to start simply then build up to a more complex model. She started with the two sectors. Everyday people from within a household are essentially workers, gaining income from the production of goods and services.

She noticed that households end up using their income for the consumption of the very goods and services that like-minded households are all contributing to produce.

Vanessa's simple two-sector flow of income model
The two sector model of the economy is balanced (or in equilibrium) when income (Y) = consumption (C).

